

Example:

Swift and Company 3³/₄s, Due 1950

1934–1938 Average Results

Balance for dividends	\$8,630,000
Interest paid	2,107,000
Rentals paid	996,000
Interest earned	5.1 times
Interest and rentals earned	3.8 times

We feel, however, that it would be neither fair nor practicable to require every company to meet a test so severe. A compromise suggestion based on some study of actual exhibits may be hazarded, *viz.*: (1) that one-third the annual rentals (for building space) be included with fixed charges (and preferred dividends), to compute the earnings coverage; and (2) that in the case of retail establishments (chain stores, department stores) the minimum coverage required for interest plus one-third of rentals be reduced from 3 to 2. This reduction would recognize the relative stability of retail business, after allowance is made for the special burden attaching to the rental factor. The corresponding coverage required for a retail company's preferred stock would be reduced from 4 to 2¹/₂.

Examples:

(A) Nonretail Bond Issue Loew's, Inc., 3¹/₂s, Due 1946

August 1934–August

1938

Average Results

Balance for dividends	\$10,097,000
Interest (and subsid. preferred dividends) paid.	2,614,000
One-third of rentals paid	1,107,000
Interest, etc., earned	4.86 times
Interest and one-third of rentals earned	3.71 times

(B) Retail Enterprise Preferred Stock

1934–1938 Average Results

	McCrary Stores Corp. 6% Preferred	McLellan Stores Co. 6% Preferred
Balance for common stock	\$1,682,000	\$1,148,000
Interest on bonds	abt. 200,000	
One-third of rentals	770,000*	434,000
Preferred dividends	300,000	180,000
Preferred dividend (and interest earned) 7.38 times		4.36 times
Preferred dividend, interest and 1/3 of rentals earned	2.33 times	2.87 times

* 1935–1938 average.